PART A

(PART A: TO BE REFERRED BY STUDENTS)

Experiment No. 04

A.1 Aim

- To define the unique value proposition of the selected business idea and prepare a **Business Model Canvas (BMC)** for business planning and business plan development.

A.2 Prerequisite

Students should have:

- Basic understanding of entrepreneurship and business opportunities.
- Knowledge of customer needs and market research.
- Familiarity with the concepts of value proposition and business models.
- Basic understanding of the nine building blocks of the Business Model Canvas.

A.3 Outcome

After successful completion of this experiment students will be able to:

- Understand the concept and importance of a Value Proposition.
- Develop a unique value proposition for a selected business idea.
- Prepare a Business Model Canvas (BMC).
- Identify the key components required for business planning.
- Use the Business Model Canvas as a foundation for preparing a business plan.

A.4 Theory

A **Value Proposition** explains why customers should choose a particular product or service over competing alternatives. It describes the value delivered to customers by highlighting the product's benefits, uniqueness, and the problems it solves.

The **Business Model Canvas (BMC)** is a strategic management tool used to describe, design, and analyze a business model on a single page. It helps entrepreneurs understand how their business creates, delivers, and captures value.

The Business Model Canvas consists of **nine building blocks**:

1. Customer Segments
2. Value Propositions
3. Channels
4. Customer Relationships
5. Revenue Streams
6. Key Resources
7. Key Activities
8. Key Partnerships
9. Cost Structure

The BMC provides a clear roadmap for business planning and helps entrepreneurs make informed strategic decisions before preparing a detailed business plan.

Case Study (For Reference Only)

Kesar Mango Processing Business

Mr. Ramesh is a mango farmer from **Bidar, Karnataka**, who owns **400 Kesar mango trees**. His farm is located near a **National Highway**, providing easy transportation to nearby cities such as Hyderabad, Gulbarga, and Solapur.

To reduce post-harvest losses and increase profitability, he plans to process Kesar mangoes into value-added products such as:

- Kesar Mango Jam
- Kesar Mango Pulp
- Kesar Mango Jelly
- Kesar Mango Nectar
- Kesar Mango Pickle

To plan the business effectively, Mr. Ramesh develops a **Value Proposition** and prepares a **Business Model Canvas**.

Value Proposition

Unique Selling Points (USP)

- Premium quality Kesar mangoes with rich taste and aroma.
- Farm-fresh, natural, and hygienically processed products.
- Affordable pricing with superior quality.
- Direct sourcing from the farm.
- Easy distribution through the National Highway network.
- Long shelf life with quality packaging.

Value Proposition Statement

"Mr. Ramesh's Kesar Mango Processing Business provides natural, hygienically processed, and affordable mango products directly from the farm. Customers receive premium-quality Kesar mango products with authentic taste, attractive packaging, and convenient availability through local retailers, supermarkets, and online platforms."

Business Model Canvas (BMC)

Building Block	Description
Customer Segments	Households, retail stores, supermarkets, hotels, bakeries, online customers, highway travellers
Value Proposition	Premium Kesar mango products, natural ingredients, hygienic processing, affordable pricing, farm-fresh quality
Channels	Retail shops, supermarkets, direct farm sales, online platforms, food delivery apps, highway-side outlets
Customer Relationships	Quality assurance, customer feedback, regular supply, promotional offers, loyalty programmes
Revenue Streams	Sales of jam, pulp, jelly, nectar, pickle, wholesale supply, online sales
Key Resources	Mango farm, processing machinery, skilled workers, transportation, packaging materials, brand identity
Key Activities	Processing, packaging, quality control, marketing, distribution, customer service
Key Partnerships	Retailers, transport agencies, packaging suppliers, online marketplaces, government support agencies
Cost Structure	Raw materials, labour, machinery, packaging, transportation, marketing, maintenance, utilities

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Important Note

The above case study is provided only for reference to understand the concepts of Value Proposition and the Business Model Canvas. Students must perform this experiment using their own selected business idea approved by the course instructor and prepare their own Value Proposition Statement and Business Model Canvas.

Tools / Materials Required

- Notebook
- Pen/Pencil
- Business Model Canvas Template
- Value Proposition Canvas
- Chart Paper (Optional)
- Sticky Notes (Optional)
- Internet (Optional)

Procedure

1. Select your business idea.
2. Identify the target customer segments.
3. Define the unique value proposition of your product or service.
4. Identify the channels through which customers will be reached.
5. Define customer relationships and revenue streams.
6. Identify key resources, key activities, and key partnerships.
7. Estimate the cost structure of the business.
8. Prepare the complete Business Model Canvas.
9. Present and discuss the Business Model Canvas with the instructor.

Observation

- A value proposition differentiates a business from its competitors.
- The Business Model Canvas provides a complete overview of the business.
- Customer needs and value proposition are closely connected.

- The BMC helps identify business strengths and resource requirements.
- Proper business planning improves the chances of entrepreneurial success.

Expected Outcome

Students will be able to prepare a Value Proposition Statement and a Business Model Canvas for their selected business idea, enabling them to develop a structured and feasible business plan.

PART B

(PART B: TO BE COMPLETED BY STUDENTS)

Roll No.: C-60

Name: Avdhut Parish Madhavi

Class/Batch: SE-C2

Date of Experiment: _____

Date of Submission: _____

Grade: _____

B.1 Observations and Learning

1. Select your business idea

The selected business idea is NAVRO Living, a gardening and green-living business that provides customized balcony gardens, rooftop and terrace gardens, kitchen gardens, plant selection, installation, and maintenance services.

2. Identify the target customer segments

The target customers of NAVRO Living are:

- Apartment residents who want to create green spaces on their balconies.
- Homeowners interested in rooftop and terrace gardens.
- Families interested in growing herbs and vegetables at home.
- Working professionals who prefer convenient, low-maintenance gardening solutions.
- Offices, cafés, and other establishments that want to improve their spaces with plants.
- Customers who require regular garden maintenance and plant-care services.

3. Define the unique value proposition of your product or service

Unique Selling Points (USP)

- Customized garden designs according to available space and customer preferences.
- Suitable plant selection based on sunlight, space, and maintenance requirements.
- Professional garden installation and arrangement.
- Solutions for balconies, terraces, rooftops, and kitchen gardens.

- Optional ongoing maintenance and plant-care support.
- Practical gardening solutions designed to suit different customer budgets.

Value Proposition Statement

NAVRO Living provides customized gardening solutions that transform balconies, terraces, and other available spaces into attractive and functional green areas. Through personalized garden design, suitable plant selection, professional installation, and maintenance support, the business helps customers enjoy greener living without needing extensive gardening knowledge.

4. Identify the channels through which customers will be reached

NAVRO Living will use the following channels to reach customers:

- Instagram and social media: To showcase garden inspiration, completed projects, and gardening tips.
- Company website: To explain services, display designs, and receive customer enquiries.
- Direct communication: To understand customer requirements and discuss customized solutions.
- Customer referrals: To attract new customers through recommendations from satisfied clients.
- Local partnerships: To connect with apartment communities, plant nurseries, and relevant businesses.
- Online enquiries: To receive requests for consultations, installations, and maintenance services.

5. Define customer relationships and revenue streams

Customer Relationships

- Personalized consultation to understand customer needs.
- Customized garden planning and plant recommendations.
- Professional installation and guidance on plant care.
- Follow-up support and maintenance packages.
- Customer feedback and referral-based engagement.

Revenue Streams

- Balcony and terrace garden design fees.

- Garden installation charges.
- Sale of plants, planters, and gardening accessories.
- Kitchen garden setup packages.
- Recurring garden maintenance services.
- Customized gardening kits and related products.

6. Identify key resources, key activities, and key partnerships

Key Resources

- Skilled gardeners and garden designers.
- Gardening tools and installation equipment.
- Plants, seeds, soil, compost, and planters.
- Financial resources and transportation.
- Website, social media accounts, and brand identity.

Key Activities

- Understanding customer requirements.
- Inspecting available spaces and planning garden layouts.
- Selecting suitable plants and materials.
- Installing balcony, terrace, and kitchen gardens.
- Providing garden maintenance and plant-care guidance.
- Marketing services and managing customer relationships.

Key Partnerships

- Plant nurseries and local growers.
- Gardening-material and planter suppliers.
- Compost and soil suppliers.
- Delivery and transportation providers.
- Local apartment communities and relevant businesses.
- Gardening professionals for specialized requirements.

7. Estimate the cost structure of the business

The major costs involved in operating NAVRO Living include:

- Purchasing plants, seeds, soil, compost, and fertilizers.
- Buying and maintaining gardening tools and equipment.
- Purchasing pots, planters, and other installation materials.
- Paying gardeners, designers, and installation workers.
- Transportation and delivery expenses.
- Marketing, advertising, and website maintenance.
- General operating expenses and customer support.

The business can manage these costs through efficient purchasing, careful project planning, appropriate pricing, and effective resource utilization.

8. Prepare the complete Business Model Canvas

Building Block	**NAVRO Living**
Customer Segments	Apartment residents, homeowners, families, working professionals, offices, and cafés.
Value Propositions	Customized gardening solutions, suitable plant selection, professional installation, and maintenance support.
Channels	Instagram, website, social media, direct communication, referrals, and local partnerships.
Customer Relationships	Personalized consultation, customized services, after-installation support, maintenance packages, and feedback.
Revenue Streams	Design fees, installation charges, plant and planter sales, kitchen garden packages, and maintenance services.
Key Resources	Skilled workers, designers, gardening tools, plants, materials, transportation, and brand identity.
Key Activities	Garden planning, plant selection, installation, maintenance, marketing, and customer service.
Key Partnerships	Nurseries, gardening suppliers, compost suppliers, delivery providers, and local business partners.
Cost Structure	Plants, materials, labour, tools, transportation, marketing, website expenses, and operating costs.

9. Present and discuss the Business Model Canvas with the instructor

The Business Model Canvas for NAVRO Living can be presented to the instructor to explain its target customers, unique value proposition, marketing channels, revenue streams, required resources, activities, partnerships, and costs. Feedback from the instructor can be used to improve the business model and identify areas requiring further planning.

Observations and Learning

1. A value proposition communicates the unique benefits NAVRO Living offers through customized gardening services.
2. The Business Model Canvas provides a structured overview of the essential components required to operate the business.
3. Identifying target customers and understanding their needs helps develop suitable gardening solutions.
4. Revenue streams and cost structures support financial planning and help assess business profitability.
5. Effective business planning helps NAVRO Living organize its resources, deliver value to customers, and work towards sustainable growth.

B.2 Conclusion

NAVRO Living was analyzed by developing a Value Proposition Statement and a Business Model Canvas. The exercise helped identify its target customers, unique benefits, marketing channels, customer relationships, revenue sources, resources, activities, partnerships, and costs. The experiment demonstrates that the Business Model Canvas is a useful tool for organizing a business idea and preparing a structured business plan.

B.3 Question of Curiosity

Questions

1. What is the value proposition of your selected business idea?

   NAVRO Living provides customized gardening solutions that transform balconies, terraces, and other available spaces into attractive and functional green areas through personalized design, plant selection, installation, and maintenance support.

2. How does your product or service differ from existing competitors?

NAVRO Living focuses on personalized gardening solutions based on customer preferences, available space, sunlight, and budget. It offers design, installation, and maintenance support rather than only selling plants or gardening materials.

3. Identify the customer segments for your selected business idea.

   The target customers include apartment residents, homeowners, working professionals, families interested in kitchen gardening, offices, cafés, and customers requiring garden maintenance services.

4. Explain the nine building blocks of the Business Model Canvas with reference to your business idea.

   The nine building blocks are:

   1. Customer Segments: Apartment residents, homeowners, families, offices, and cafés.
   2. Value Propositions: Customized garden design, installation, plant selection, and maintenance.
   3. Channels: Website, Instagram, social media, referrals, and direct communication.
   4. Customer Relationships: Personalized consultation, follow-up support, and maintenance packages.
   5. Revenue Streams: Design fees, installation charges, plant sales, gardening kits, and maintenance services.
   6. Key Resources: Skilled gardeners, tools, plants, materials, transportation, and brand identity.
   7. Key Activities: Garden planning, installation, maintenance, marketing, and customer service.
   8. Key Partnerships: Nurseries, gardening suppliers, compost suppliers, and delivery providers.
   9. Cost Structure: Materials, labour, equipment, transportation, marketing, and operating expenses.

5. Which distribution channels will you use to reach your customers? Why?

   NAVRO Living will use Instagram, its website, other social media platforms, direct communication, customer referrals, and local partnerships. These channels help showcase its services, reach potential customers, build trust, and receive enquiries.

6. What are the key resources and key activities required for your business?

Key resources include skilled gardeners, designers, gardening tools, plants, planters, soil, compost, transportation, and financial resources. Key activities include customer consultation, garden design, plant selection, installation, maintenance, marketing, and customer support.

7. How will your business generate revenue, and what are the major costs involved?

   NAVRO Living will generate revenue through garden design, installation, plant and planter sales, kitchen garden setups, and recurring maintenance services. Major costs include gardening materials, labour, tools, transportation, marketing, and operating expenses.

8. How will the Business Model Canvas help you prepare a detailed business plan?

   The Business Model Canvas organizes the business idea into nine essential components. It helps NAVRO Living identify customers, define its value proposition, plan marketing activities, estimate costs, identify revenue sources, and allocate resources. These details provide a foundation for preparing a comprehensive business plan.

Result

The Value Proposition Statement and Business Model Canvas were prepared for NAVRO Living. The experiment helped identify the key elements required to create, deliver, and capture value through customized gardening services, providing a foundation for developing a structured business plan.